Liquidity4Life® introduces Home Drawdown®

Any solution that can unitise the equity accumulated in someone's home, turn it into capital and income which can be spent in retirement, whilst retaining their ability to continue to live in their own home, should be a game changer.

Welcome to Home Drawdown®.

Home Drawdown® - Just like pension drawdown

Targeting asset rich, income poor over 55 homeowners, Home Drawdown® is a suite of solutions that is very similar to pension drawdown in concept, where instead of putting your pension pot into drawdown, you put the accumulated equity in your "home pot" into drawdown. This will be achieved by unitising the property to create an investment portfolio, from which capital and income can be withdrawn for the remainder of a homeowner's life.

Equity in their properties should be easily accessible to homeowners, it should be incorporated into financial planning solutions designed by financial advisers and it should provide exposure to institutions as a stable, long term, asset-backed investment.

Liquidity4Life is not creating new, regulated products. It will use existing regulated products to deliver a modern, innovative solution that works just like pension drawdown, a solution commonly recommended by financial advisers.

Some relevant statistics

- The £5 trillion pension funding shortfall that already exists in the UK is growing year on year.
- The over 55's have over £3.75 trillion of unencumbered equity in their homes.
- Compounding the problem, the number of over 55s is expected to grow by 3.7 million by 2050.

When looking for solutions, attention has to broaden beyond seeking incremental improvements to the traditional pillars of retirement funding, to an underused asset class – home equity.

This asset class remains largely overlooked because of the absence of any workable financial solution. After decades, mortgages still remain entrenched in our thinking as the only financial instrument capable of accessing home equity, but still only capable of releasing relatively small amounts.

This remains the only untapped asset class of sufficient capital size and depth to have the necessary impact to close the retirement funding gap and alleviate the growing social care crisis.

Liquidity4Life software

Liquidity4Life's cloud-based software will provide an application portal for homeowners, a members' portal for institutional investors, an internal risk management portal and a portal for financial advisers, their clients, lawyers, conveyancers, valuers, surveyors and property management companies.

What can Home Drawdown® deliver?

For homeowners

Home equity, accessed responsibly, can be used to better fund retirement provided there is controlled and financially responsible management. Home equity, together with a customer's other assets can be used to fund retirement and long-term care as well as bequeathing a legacy to the family.

Financial Advisers

By its very nature, Home Drawdown® will give rise to significant financial planning opportunities as both retail advisers and wraps will have thousands of customers with far more equity locked up in their homes than they have invested in their pensions.

Home assets will become a major feature of holistic financial planning for the first time, thus optimising income and tax planning opportunities across pensions, investments and home equity. This could more than double recurring fee income.

A new generation of institutional investors

Home Drawdown® solutions are under-pinned by existing regulated products.

Institutional investors will be able to obtain stable, asset-backed returns from long-term owner-occupied residential property. A flow of good quality housing stock will deliver predictable cash flows and minimise income leakage.

With an average property value of £350,000 (for Retirees), Home Drawdown® is anticipated to be 6 times larger than the average finance or equity release structure.

Home Drawdown® will, for the first time, unlock and deliver massive flows of new capital into capital markets through asset management and residential property securitization.

For Government

Home Drawdown® unlocks an asset class of sufficient size and depth to become the 4th pillar of financial planning in the UK – home equity.

This has significant policy implications for government and will allow it to reduce the dependency ratio of retirees to taxpayers while enabling the use of its balance sheet wealth to solve a social care crisis, alleviate suffering, particularly in these pandemic times, and achieve a business return on capital employed.